

research and development,” says Jiten Jain, cybersecurity expert and Director at network security firm Voyager InfoSec. “However, charging exorbitant fees in the range of 12-26% per cent can be a threat to many small and medium sized companies.”

The policy of restricting downloads on the Apple App Store or the Google Play Store is often justified on the grounds of security; this is because apps on the Play Store are typically vetted to prevent malware and other security risks. But some experts have criticised this practice as monopolistic because it can limit the availability of apps, potentially stifling competition. Google does allow users to side-load apps and lets users download alternative app

capping the charges,” says Jain.

According to Jain, both Google and Apple could consider reducing their app store fees. This would directly address the primary concern of many developers, but this could impact the revenue of the tech giants. Google could also democratise app stores by allowing alternative ones, giving developers more freedom, says Jain. He adds that it remains to be seen that if the government decides to create its own app store, whether Google would allow it. Apart from its own app store, government regulation could also play a role in resolving this issue, feel experts. By setting rules about what tech giants can and cannot do, governments could ensure a

abuse of dominance by the big tech”.

Globally, too, developers have complained about the high fees charged by app stores. In 2020, Epic Games, the developer of *Fortnite*, filed antitrust suits against both Google and Apple over their in-app purchasing fees. Epic had tried to implement a payment system within *Fortnite* in 2020 that would have bypassed Google and Apple. Both companies briefly banned *Fortnite* from their app stores in response. The jury found Google at fault for all 11 antitrust claims brought by Epic, but a judge ruled against Epic in the case against Apple. Even Elon Musk, after taking over X in 2022, had called out app stores for the high fees they charge for in-app purchases.

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1 Google and Apple charge a certain fee for financial transactions on the Play Store or the App Store, respectively

2 This has led to discontent among app developers globally over what they argue are very high fees

3 Google charges 12-26% on its Play Store in India, but experts say this could be exorbitant for small or medium firms

4 When a developer doesn't pay the fee, Google usually pulls its app from the Play Store

stores, but none of them are able to attain the same level of integration with Android, the operating system.

What, then, is the solution? Sanjeev Bikhchandani, Founder & Executive Vice Chairman of Info Edge, in a post on X, suggested that India needs its own App Store/Play Store that is a part of Digital Public Infrastructure, akin to UPI and ONDC. “Even if the government introduces a new ecosystem to reduce the monopoly of tech giants like Google and Apple, it will need to charge certain fees to maintain the security and infrastructure of the ecosystem. Similarly, companies like Google need to charge a certain fee, but the government can play an important role in

more level playing field. The flip side is that this could stifle innovation and competition.

Another issue experts have highlighted is that the dominance of just two smartphone ecosystems gives them exceptional leverage but it leaves small and medium businesses vulnerable to heavy charges. The latest flare-up has brought to the fore the power dynamics at play in the digital world. The Alliance of Digital India Foundation (ADIF), a policy think-tank representing home-grown start-ups, says that by delisting apps, Google is trying to intimidate and coerce the developers who have dared to challenge its policies. They call it a “clear case of

Thomas George, President of CyberMedia Research, says that addressing this issue will require a comprehensive approach that includes regulatory oversight to ensure fair practices, promoting competition by supporting alternative app stores, and providing developers with more control over payment options. “This complex issue demands collaboration among policymakers, industry stakeholders, and the developer community to create a more balanced and innovative digital marketplace,” he explains. There is a long way to go till a permanent solution to the issue can be arrived at. **BT**

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